Illustration 6

Raghu and Sam are partners in a firm sharing profits and losses in the ratio of 3:2. Their balance sheet as on 31st March, 2017 is as follows:

Liabilities	₹	₹	Assets	₹	₹
Capital accounts:			Machinery		30,000
Raghu	40,000		Furniture		10,000
Sam	30,000	70,000	Stock		10,000
Sundry creditors		30,000	Debtors	21,000	
			Less: Provision for doubtful debts	1,000	20,000
			Bank		30,000
		1,00,000			1,00,000

Prakash is admitted on 1.4.2017 subject to the following conditions:

(a) He has to bring a capital of ₹ 10,000

(b) Machinery is valued at ₹ 24,000

(c) Furniture to be depreciated by ₹ 3,000

(d) Provision for doubtful debts should be increased to ₹ 3,000

(e) Unrecorded trade receivables of ₹ 1,000 would be brought into books now

Pass necessary journal entries and prepare revaluation account and capital account of partners after admission.

Solution

Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
2017 April 1	Bank A/c Dr.		10,000	
	To Prakash's capital A.c			10,000
	(Capital brought by Prakash)			
,,	Revaluation A/c Dr.		11,000	
	To Machinery A/c			6,000
	To Furniture A/c			3,000
	To Provision for doubtful debts A/c			2,000
	(Depreciation on machinery and furniture and provision made for doubtful debts adjusted)			

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